

companies, or “funds,” which have been in operation for many years. Most of these funds are large enough to command the services of the best financial or security analysts in the field, together with all the other constituents of an adequate research department. Their expenses of operation, when spread over their ample capital, average about one-half of 1% a year thereon, or less. These costs are not negligible in themselves; but when they are compared with the approximately 15% annual overall return on common stocks generally in the decade 1951–1960, and even the 6% return in 1961–1970, they do not bulk large. A small amount of superior selective ability should easily have overcome that expense handicap and brought in a superior net result for the fund shareholders.

Taken as a whole, however, the all-common-stock funds failed over a long span of years to earn quite as good a return as was shown on Standard & Poor’s 500-stock averages or the market as a whole. This conclusion has been substantiated by several comprehensive studies. To quote the latest one before us, covering the period 1960–1968:^{*}

It appears from these results that random portfolios of New York Stock Exchange stocks with equal investment in each stock performed on the average better over the period than did mutual funds in the same risk class. The differences were fairly substantial for the low-and medium-risk portfolios (3.7% and 2.5% respectively per annum), but quite small for the high-risk portfolios(0.2% per annum).¹

As we pointed out in Chapter 9, these comparative figures in no way invalidate the usefulness of the investment funds as a financial institution. For they do make available to all members of the investing public the possibility of obtaining approximately average results on their common-stock commitments. For a variety of reasons, most members of the public who put their money in common stocks of their own choice fail to do nearly as well. But to the objective observer the failure of the funds to better the performance of a broad average is a pretty conclusive indication that such an achievement, instead of being easy, is in fact extremely difficult.

Why should this be so? We can think of two different explanations, each of which may be partially applicable. The first is the possibility that the stock market does in fact reflect in the current prices not only all the important facts about the companies’ past and current performance, but also